Morning Briefing

Thursday, 21 May 2026 | Generated ~06:30 BST (London) | Pre-European open

Data collected during this session. All figures approximate collection time: 06:00–06:30 BST. Verify before acting.

2. IMPORTANT NEWS

▲ **Trump cancels Iran strike, serious negotiations underway** — Source: CNBC / Reuters. Trump said he called off a planned military strike on Iran following appeals from Gulf allies. Formal negotiations are now in progress. Brent crude fell 5.2%, WTI down 6.6% on supply-restoration hopes. Key for energy inflation trajectory globally.

▲ **Nvidia Q1 FY2027 earnings beat — Data Center revenue nearly doubles** — Source: CNBC / Yahoo Finance. EPS $1.87 vs $1.76 consensus; revenue $81.6bn (+85% YoY). Guided Q2 revenue $91bn, well above $86.8bn estimate. Announced $80bn buyback. Stock slipped modestly post-close despite the beat; investors concerned about margin sustainability. Lifts AI capex sentiment broadly.

● **UK CPI April 2026 came in below consensus** — Source: ONS / AIMSFX. CPI +2.8% YoY vs 3.0% expected and 3.3% prior. Monthly: +0.7% vs 0.9% expected. Driven by energy price cap introduced April 1. PPI pressures remain elevated; analysts expect inflation to re-accelerate to 4% by year-end. BoE rate cut calendar now repriced slightly.

● **G7 finance ministers conclude Paris summit with debt warning** — Source: CNBC. G7 officials acknowledged growing concerns over rising public debt and bond market volatility. Yields remain elevated globally; German Bund 10Y at 3.14%, near 15-year highs. Sovereign funding costs are a headwind for European fiscal plans.

▲ **Germany announces Uniper re-privatisation** — Source: CNBC. The German government confirmed plans to re-privatise Uniper, nationalised during the 2022 energy crisis. Positive signal for Germany's fiscal housekeeping; potential catalyst for European utility and energy sector.

3. EUROPEAN FUTURES — Pre-Open

Approx. 06:00–06:30 BST. Sources: Eurex, Investing.com, CNBC pre-market.

Index	Future Level	Expected Move	Note
Euro Stoxx 50	~5,907	+0.2%	Range 5,876–5,909 overnight
Stoxx 600	n/a	+0.3%	Positive open expected
DAX	n/a	Higher	Iran ceasefire news positive for German exporters
CAC 40	n/a	Higher	Energy sector tailwind from oil drop
FTSE 100	n/a	Higher	Oil majors headwind vs. consumer tailwind

US FUTURES (CONTEXT)

Index	Direction	Note
S&P 500 Futures	Slightly positive	Nvidia beat supports sentiment; yields easing slightly
Nasdaq Futures	Slightly positive	AI names bid on Nvidia data center growth

4. YESTERDAY'S CLOSES — European Indices (20 May 2026)

Sources: CNBC, TradingEconomics, Morningstar.

Index	Close	Change	% Change	Note
Euro Stoxx 50	n/a	—	—	Stoxx 600 +0.2% intraday
DAX	24,401	+93 pts	+0.38%	Oscillated near flat early; closed higher
CAC 40	~n/a	+11 pts	+0.13%	Mixed sectors; intraday level only confirmed
FTSE 100	10,393	n/a pts	+0.61%	Best performer; UK CPI miss lifted rate-cut hopes

Session tone: Cautious but mildly positive. UK inflation data was the key intraday catalyst. Miners and tech led gains; retail and media lagged. Market awaited Nvidia results after US close.

5. US MARKETS — Yesterday's Session (20 May 2026)

Sources: CNBC, TheStreet, Yahoo Finance.

Index	Close	Change	% Change
S&P 500	n/a	n/a	+1.0%
Dow Jones	49,985	+621 pts	+1.26%
Nasdaq 100	n/a	n/a	+1.2%

Session tone: Clearly risk-on. Lower oil prices — down 5–6% on Iran ceasefire hopes — boosted sentiment broadly. Consumer discretionary and technology led gains. Energy stocks lagged as crude prices dropped sharply. Market was positioned cautiously ahead of Nvidia earnings, which came in well above expectations after the close. Dow recaptured 49,000+ territory. Breadth positive with most S&P sectors green.

Key takeaway: Two tailwinds aligned — easing geopolitical risk (lower oil) and AI capex confirmation (Nvidia beat). If US futures hold gains overnight, European open should be positive.

6. ASIAN MARKETS — Overnight Session (21 May 2026)

Sources: CNBC Asia, Yahoo Finance, TradingEconomics.

Index	Level	% Change	Driver
Nikkei 225	n/a	+3.52%	Japan April exports +14.8% YoY (beats); semiconductor shipments surge
Kospi	n/a	+7.68%	Samsung worker strike averted after wage deal; 47,000+ workers
Kosdaq	n/a	+5.02%	Risk-on spill-over from Kospi; tech names bid
Hang Seng	~25,634	n/a	Intraday level 11:07 HKT; cautious, range-bound
Shanghai Composite	~4,162	Flat	Waiting on domestic policy signals; stimulus speculation continues

Tone: Strongly positive in North Asia. Kospi +7.7% is exceptional — Samsung strike resolution is a market-moving event. Japan buoyed by trade data confirming semiconductor export boom. China/HK more subdued, domestic demand concerns persist. Overall Asia tone is risk-on, which supports European pre-open.

7. COMMODITIES

Sources: TradingEconomics, Fortune, OilpriceAPI, LME. Data as of ~May 20–21, 2026.

Commodity	Level	Change	Note
Brent Crude	$105.54/bbl	-5.16%	Largest daily drop in months — Iran negotiations progress; Strait of Hormuz supply hopes
WTI Crude	$97.33/bbl	-6.55%	Below $100 psychological level; Iran supply-restoration priced in
Gold (XAU/USD)	$4,535/oz	+0.34%	Holding near record levels; safe-haven demand persistent despite risk-on tone
TTF Natural Gas	€48.58/MWh	-6.24%	Fell with oil; LNG supply hopes through Hormuz. Still elevated vs. pre-conflict levels (~€51/MWh recent range)
Copper (LME)	$6.18/lbs	+0.31%	Modest gain; industrials PMI data expected today. Structural deficit thesis intact

Context: The simultaneous drop in Brent and TTF is the single biggest commodity story this morning. If Iran negotiations produce a deal, expect further leg down in energy and significant relief for European CPI. Brent is still ~62% higher year-on-year — the relief is real but context matters. Gold's resilience despite oil's drop signals geopolitical risk premium remains in the system.

8. RATES & FX

Sources: CNBC, TradingEconomics, Investing.com. Approx. May 20–21 2026.

Instrument	Level	Change / Note
US 10Y Treasury Yield	4.65%	Edged down from 16-month high of 4.70% hit Tuesday. G7 debt concerns keep long end elevated
German Bund 10Y	3.14%	Off 3.19% Monday high — highest since May 2011. G7 fiscal warning reinforces pressure
EUR/USD	1.1620	Steady; UK CPI miss modest positive for risk; oil drop slightly EUR-positive via inflation
GBP/USD	~1.36	UK CPI miss reprices BoE; cable benefiting from dollar softness and lower energy import bill
DXY (Dollar Index)	~99.4	Near 6-week high; war-driven energy inflation keeps Fed hawkish bias. Down from April highs

Key watch: The Bund 10Y at 3.14% is structurally significant — at these levels, European corporates face materially higher refinancing costs. EUR/USD holding 1.16+ is supportive for purchasing power. Flash PMI data today (see Section 10) will be the next rates catalyst.

9. DCM — PRIMARY BOND MARKET

Sources: IFR, GlobalCapital, Reuters. Data for May 20, 2026.

YESTERDAY'S ISSUANCES

Issuer	Size	Maturity	Coupon / Spread	IPT vs Pricing	Sector
Specific deal data for 20 May 2026 not confirmed by available sources. Listed as n/a. Cross-reference IFR/GlobalCapital for verified pricings.					

PIPELINE / EXPECTED TODAY

Issuer	Expected Size	Tenor	Status
No confirmed mandates sourced for 21 May 2026. Check IFR pipeline for live updates pre-open.			

KEY SPREADS

Index	Level (bp)	Move	Direction
iTraxx Main (5Y)	n/a	n/a	n/a — verify on Bloomberg/Refinitiv
iTraxx Crossover (5Y)	n/a	n/a	n/a
CDX IG (5Y)	n/a	n/a	n/a
Avg EUR Corp IG Spread	n/a	n/a	n/a

COMMENTARY

Primary market tone is mixed-to-cautious. Bund yields near 15-year highs at 3.14% widen the rate backdrop for new EUR investment-grade issuance, compressing spread cushion versus risk-free. The sharp drop in oil overnight could shift sentiment positively before London open — lower energy inflation reduces the ECB's hawkish pressure and may nudge spreads tighter. A clean window may open if Bund yields stabilise and today's Flash PMI data (due 09:00 BST) prints close to consensus. Financials and SSA issuers most likely to act early in any window given predictable investor bases. HY remains on hold in current rate environment. Industrials and transport issuers are watching Iran developments closely — lower energy costs dramatically improve credit metrics for airlines, shipping, and logistics names.

10. ECONOMIC CALENDAR — 21 May 2026

Sources: S&P Global PMI, Trading Economics, Econoday. 68 events scheduled globally.

London Time	Region	Indicator	Consensus / Prior	Importance
08:15 BST	France	Flash Manufacturing PMI (May)	Prior: ~48 (contraction)	MED
08:30 BST	Germany	Flash Manufacturing & Services PMI (May)	Mfg prior 52.2; Composite prior 48.6	HIGH
09:00 BST	Eurozone	Flash Composite PMI (May)	Prior 48.6 — contraction territory	HIGH
09:30 BST	UK	Flash Composite PMI (May)	Consensus n/a; economy under pressure from energy costs	HIGH
14:45 BST	US	Flash Composite PMI (May)	Consensus n/a	HIGH
15:00 BST	US	Existing Home Sales (April)	Consensus n/a	MED
TBC	Various	G7 Finance Ministers communiqué (Paris)	Debt/deficit concerns; bond market volatility	HIGH

Key watch: Flash PMI data across Eurozone, UK and US is the macro pivot point of the day. April saw Eurozone Composite fall to 48.6 (contraction), deepest since Nov 2024, driven by Middle East conflict impact. If May PMI rebounds on oil drop expectations, bonds could rally and equities extend gains. A further decline would reinforce recession fears and test ECB dovish expectations.

11. CORPORATE EVENTS & EARNINGS — 21 May 2026

Sources: SEC filings, Yahoo Finance Earnings Calendar, MarketScreener.

Company	Event	Region	Note
Nvidia (NVDA)	Q1 FY2027 results — ALREADY REPORTED	US	Beat: EPS $1.87 vs $1.76. Revenue $81.6bn. Q2 guidance $91bn. $80bn buyback. Stock dipped post-close
Walmart (WMT)	Q1 FY2027 earnings	US	Key consumer health barometer; 48 US companies report today
Deere & Co (DE)	Q2 FY2026 earnings	US	Agriculture equipment; watch for capex outlook and commodity demand commentary
Citi Diversified Financials	Meet the C-Suite virtual event	Europe / US	Financials sector; management access event
Multiple Europe companies	AGM season ongoing	Europe	Check MarketScreener for full European corporate diary

12. STOCKS TO WATCH

Sources: CNBC, Kiplinger, Yahoo Finance, Reuters.

Company	Sector	Reason	Direction
Nvidia (NVDA)	Technology / AI	Blowout Q1 earnings (EPS $1.87 vs $1.76); Q2 guide $91bn; $80bn buyback. Stock slipped slightly — focus on margin sustainability and ACIE revenue growth	Neutral-to-positive — already priced in beat; watch pre-market
Rheinmetall (RHM GY)	Aerospace & Defense	Q1 beat: sales +8%, operating profit +17%, backlog +31% to €72.9bn. NATO spending tailwind. Iran ceasefire headlines could create short-term headwind but long-term defense thesis intact	Positive medium-term; watch today for ceasefire impact
Samsung Electronics (005930 KS)	Technology / Semiconductors	47,000+ worker strike averted — wage deal reached. Kospi surged 7.7% on the news; Samsung added 6%+. Supply continuity restored	Positive — supply chain relief; AI chip capacity preserved
Uniper (UN01 GY)	Energy / Utilities	German government announces re-privatisation plan. Potential valuation re-rating; execution risk remains. Watch for investor response and government sale timeline	Positive event — privatisation premium likely
Airbus (AIR FP)	Aviation / Aerospace	Gained 1.2% in recent session; Iran ceasefire could open Middle East aircraft orders. Lower jet fuel prices structural positive for airline customers and Airbus order book	Positive — dual tailwind from oil and geopolitics
IAG / Ryanair / easyJet	Aviation	Brent down 5.2% is a meaningful fuel cost relief. Every $10/bbl move in Brent worth ~$200–400m in annual fuel cost for major European carriers. Watch for fuel hedge unwinding	Positive — direct oil cost tailwind
Shell / BP / TotalEnergies	Energy — Oil Majors	Brent -5.2%, WTI -6.6%. Oil majors face earnings pressure. FTSE 100 has material weighting to energy, creating index drag. Watch for buy-the-dip activity	Negative near-term — revenue pressure on lower oil
SAP (SAP GY)	Technology / Software	SAP advanced 3.2% in prior session. AI-driven cloud ERP demand remains robust; Nvidia AI capex read-through positive for enterprise software	Positive — AI cloud tailwind

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

1. **UK inflation moderates in April.** CPI +2.8% vs 3.0% expected — energy price cap effect. However, PPI pressures signal re-acceleration to ~4% by year-end. BoE rate-cut timeline modestly repriced. Sterling bid.

2. **Global yields remain structurally elevated.** US 10Y at 4.65%, Bund 10Y at 3.14% (near 15-year high). G7 Paris communiqué flagged sovereign debt sustainability as a top concern. No near-term relief likely without definitive inflation victory.

3. **Japan trade data outperforms.** April exports +14.8% YoY, fastest since January, driven by semiconductor shipments. Positive for global trade volumes and supply chain normalisation. Nikkei +3.5% response confirms market reading.

4. **Flash PMI data today is the macro catalyst.** Eurozone April composite fell to 48.6 — if May rebounds, it changes the ECB rate path narrative materially.

CORPORATE

1. **Nvidia confirms AI capex supercycle.** Data Center revenue nearly doubled YoY to $75.2bn (compute + networking). $80bn buyback signals management confidence. The market's slight stock decline post-results reflects extremely high bar — not a negative fundamental signal.

2. **Samsung strike averted.** Breakdown in prolonged wage negotiations resolved; production continuity at world's largest memory chip maker restored. This removes a tail risk for global semiconductor supply.

3. **Walmart and Deere report today.** Walmart gives a read on US consumer health under elevated inflation. Deere provides insight into agriculture capex and commodity demand.

POLITICAL / GEOPOLITICAL

1. **US-Iran negotiations most significant geopolitical development.** Trump canceled strike, Gulf allies brokered talks. If a deal progresses, roughly one-fifth of global LNG supply currently disrupted through Strait of Hormuz could be restored. This would be transformative for European energy costs and inflation.

2. **G7 Paris summit concluded with fiscal warnings.** Rising public debt and bond market volatility flagged by finance ministers. Implications for Eurozone sovereign spreads and fiscal capacity for defence spending ramp-up.

3. **Uniper re-privatisation signals German fiscal discipline.** Return of state-owned energy assets to private hands aligns with Scholz/CDU austerity pivot. Positive signal for German sovereign credit.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. **Flash PMI releases (09:00–14:45 BST).** Will May data show recovery from April's 48.6 contraction? Key for ECB rate path and risk sentiment today.

2. **Oil price follow-through on Iran talks.** Brent -5.2% yesterday — will today bring further leg down or a partial reversal? Determines energy sector direction.

3. **Nvidia post-earnings reaction.** Beat confirmed; does the market re-rate upward pre-Europe open? Watch AI/ semiconductor names: ASML, Infineon, STMicro.

4. **Walmart earnings (US open).** Consumer health read-through under elevated inflation. Disposable income squeeze vs. employment resilience.

5. **Bund yield direction.** At 3.14% — if it stabilises, it opens a window for European primary market activity. If it moves higher, DCM stays shut.

THIS WEEK'S TOP 5

1. **Iran nuclear/military talks.** Any deal or breakdown dominates the energy trade for the week. Every session will be framed by latest diplomatic signals.

2. **UK inflation data (released yesterday).** April CPI 2.8% sets BoE expectations. BoE speakers this week will calibrate the rate-cut path.

3. **G7 Paris communiqué implications.** Bond market reaction to fiscal warnings; watch Bund and BTP spreads for peripheral stress.

4. **Samsung/Korea market re-opening.** Kospi +7.7% is a global market signal — will institutional reallocation follow into Korean equities?

5. **Nvidia AI capex update.** Management commentary on Blackwell ramp and ACIE (AI Clouds, Industrial, Enterprise) sub-segment will dominate AI sector narrative.

THIS MONTH'S TOP 5

1. **Middle East conflict resolution vs. escalation.** The defining macro variable for May — energy prices, inflation, central bank policy and defence spending all hinge on this.

2. **European inflation re-acceleration risk.** UK expects 4% by year-end; Eurozone April PMI showed surging input costs. ECB will face a difficult June decision.

3. **Global bond market under fiscal pressure.** G7 debt warning, US deficit spending, German Bund near 15-year highs — sovereign yields drive corporate spread environment and DCM activity.

4. **AI infrastructure capex confirmation cycle.** Nvidia, then Microsoft, Google, Amazon — each reporting confirms or challenges the AI hyperscaler spend narrative through May.

5. **Defence spending ramp in Europe.** NATO 2% GDP commitments are becoming 3–5% commitments. Rheinmetall backlog at €72.9bn. Monthly theme: defence vs. fiscal constraint tension.

15. KEY TRENDS TO WATCH

1 DAY

- **Flash PMI sequence** — Germany 08:30, Eurozone 09:00, UK 09:30, US 14:45 BST. Each print will adjust the day's risk-on / risk-off setting.
- **Iran talks headline risk** — Any official statement (positive or negative) will move Brent immediately. Watch Reuters/ Bloomberg breaking news desks.
- **Bund 10Y stability** — If Bund holds below 3.15%, DCM could see intraday opportunity. Break above 3.20% shuts the window.
- **Nvidia US pre-market reaction** — If stock recovers and moves positive, ASML, Infineon, STMicro and broader TMT sector benefit at European open.

1 WEEK

- **Iran diplomatic trajectory** — Will talks produce a framework this week or stall? Market will price incrementally.
- **BoE speaker circuit** — Post-CPI commentary will set June MPC expectations; GBP and UK rates will respond.
- **ECB June meeting preparation** — PMI data this week feeds directly into ECB projection models. Recession signal would accelerate June cut probability.
- **European primary market** — Watch for mandates announced Monday–Wednesday next week if current conditions hold.

1 MONTH

- **ECB June decision (5 June 2026)** — 25bp cut still consensus but PMI and inflation data could flip the decision. Most impactful European rate event of the month.
- **Middle East resolution timeline** — If Strait of Hormuz reopens, Brent could trade back toward $75–80. Disinflationary shock for Europe; positive for consumer spending and margins.
- **European defence spending acceleration** — Budget approvals and procurement contracts accelerating. Monthly: track Rheinmetall, BAE, Leonardo, Safran order flow.
- **Global AI capex cycle** — AWS re:Invent, Google I/O, and Microsoft Build all complete or underway in May/June. Capital allocation confirmation drives semiconductor sector.
- **G7 Paris debt compact follow-through** — Bond markets will test political commitments. Peripheral Eurozone spread widening (BTPs, OATs) is the risk to monitor.

Sources: CNBC (European/Asian/US market coverage, Nvidia earnings) | Reuters (Iran negotiations, commodities) | TradingEconomics (index levels, commodity prices, yields) | Yahoo Finance (earnings calendar, index data) | ONS / AIMSFX (UK CPI April 2026) | S&P Global PMI (Flash PMI schedule and April data) | Fortune (Gold price) | OilpriceAPI (TTF Gas) | Kiplinger (Nvidia earnings live) | Morningstar AU (European index closes) | The Motley Fool (Nvidia pre-earnings) | MUFG Research (UK CPI analysis) | Eurex / Investing.com (Euro Stoxx 50 Futures) | TheStreet (US markets May 14, 2026 reference) | ION Analytics / GlobalCapital (DCM market context)